

However, they must have the skills and resources required to make use of the IP, and to fulfil the terms of the license. As such, licensors tend to choose established companies to license to, who are more likely to succeed and generate higher sales.

To be a licensee you generally have to be in a good financial position. You will also need a good track record in your industry, otherwise licensors may not be willing to license to you.

Getting the right licence

IP is protected by law (see pp.96–97) in order to stop others simply copying it without your permission. There are four main types of IP licence. Copyright applies to artistic works such as literature, music, photographs, and website designs; a patent applies to technology; a trademark protects brands, including the logo; whereas a registered design covers the look of a product.



NEED TO KNOW

- › **Advance** is the payment made from the licensee to the licensor, usually when they sign the licensing agreement.
- › **Infringement** refers to unauthorized use of someone else's IP, or the making of counterfeit products.
- › **Licensing agreement** is the contract between licensor and licensee that becomes legally binding once both parties sign.
- › **Sublicensee** is an extra (third party) licensee appointed by the main licensee. This may be for production or marketing purposes, for example.
- › **Territories** are the countries or market region in which the licensee will use the licensor's IP.
- › **Trade secrets** are another kind of IP, usually some type of commercially valuable "know-how" or formula.



STEPS FOR THE LICENSEE

1 Decide which product you want to license

If you lack the resources necessary to develop an idea from scratch, such as an artwork or logo, look for potential licensors in that field or industry.

2 Prepare a profile

Put together a detailed description of your company. Include current products, details about your market, and your manufacturing and production resources.

3 Secure funding

Calculate your expected profit, prepare your accounts, and approach lenders or investors, if needed.

4 Search sources

Look for potential licensors. Explore international licensing exhibitions, patent registers, and agents.

5 Contact preferred licence holder

Gather information from the licence holder to assess how their IP compares against the rest of the market.

6 Determine how successful the product will be

Assess any practical issues around introducing the product into your proposed market area. Prepare the relevant figures for negotiation.

7 Negotiate costs

Agree on an annual fees or royalties with the licensor. Decide who will benefit if you develop the original IP further.